



DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee:	Long-term insurers		Reference:	10/17/1 & 10/7/1/16/B & 10/7/1/17B
Edition	Issue Date	Effective date	Directive	Status
1 st	1 August 2003	1 August 2003	141.A.i (LT)	In force
2 nd			-	-
3 rd			-	-

DIRECTIVE ON INVESTMENT IN SHARES OF THE INSURER'S HOLDING COMPANY

1. Purpose of this directive

This directive gives an overview of the position regarding the holding by insurers of shares in their holding company as contained in section 32(2) and 34(1)(e) of the Long-term Insurance Act, 1998, paragraph 7.6 of the Notice on the Prescribed Requirements for the Calculation of the Value of Assets, Liabilities and Capital Adequacy Requirement of Long-term Insurers ("Requirements"), and practices the Financial Services Board will consider.

2. Background

In this overview sections 32(2) and 34 refer to those sections in the Long-term Insurance Act, 1998, sections 39 and 85 to 89 refer to those sections in the Companies Act, 1973, "Requirements" refer to the Notice on the Prescribed Requirements for the Calculation of the Value of Assets, Liabilities and Capital Adequacy Requirements of Long-term insurers, 2003, "Registrar" means the Registrar of Long-term Insurance, and "insurer" means a long-term insurer as defined in the 1998 Act.

To be borne in mind

Insurers have a unique financial make-up. Unlike other companies, they have a shareholder fund, and policyholder funds. The insurer, in fact and substance, holds the assets in a policyholder fund as trustee for the benefit of the policyholders concerned. But, in law and form, the insurer does not hold these assets as trustee.

2.1 The position before section 32(2)

Apart from the exceptions mentioned below, an insurer could not hold shares in its holding company. Section 39(1) prohibited it.

First exception: Section 39(1), as confirmed by section 39(2), did not apply to the holding by a subsidiary of shares in its holding company as trustee - namely where the subsidiary held the shares not for its own beneficial ownership, but for the beneficial ownership of another. Section 39(1) applied only to the holding by a subsidiary of shares in its holding company for its own beneficial ownership.

It seems unlikely that an insurer would have held shares in its holding company as trustee.

Second exception: Section 39(1) also did not apply to shares a subsidiary acquired in its holding company before it became a subsidiary of its holding company. Section 39(3)(a) contained this exception. But, it could not exercise the voting rights of those shares.

2.2 The position after section 32(2)

An insurer could, in a policyholder fund, hold shares in its holding company. Section 32(2) permitted it.

Section 32(2) was inserted specifically to allow insurers to acquire and hold, in their policyholder funds, shares in their holding companies. The shares were, in terms of section 32(2)(a), deemed to be held as trustee. Therefore, although these shares in law were not held by the insurer as trustee, they were for purposes of section 39 deemed to be held as trustee, as contemplated in section 39(2). Consequently the prohibition in section 39(1), namely that a subsidiary may not hold shares in its holding company, did not apply to these shares.

Under section 32(2), the Registrar could impose any limit on this shareholding. The Registrar imposed a limit of 10% of the issued shares in the holding company.

Although, under section 39(2), a subsidiary can exercise the voting rights of the shares it holds as trustee, that being the general position, section 32(2)(c) provided specifically that insurers could not exercise the voting rights.

2.3 The position after the Companies Act was amended in 1999 ("the 1999 amendment") to allow subsidiaries to hold shares in their holding companies

The 1999 amendment, which is reflected mainly in the amended section 39(1) and the new sections 85 to 89, created a murky position. Company law experts have commented that the 1999 amendment will have to be revisited and revised, to clear the air.

In terms of section 89 a subsidiary may acquire shares in its holding company. However, all the subsidiaries of the holding company together may not acquire more than 10% of the issued shares in the holding company.

To acquire the shares, the subsidiary must comply with the procedural requirements in sections 85 to 88, to the extent that they apply. Sections 85 to 88 deal primarily with the buy-back of shares. Some of these procedural requirements are:

- The subsidiary must be authorised by its articles of association to acquire shares in its holding company.
- The acquisition must be approved by a special resolution.
- The subsidiary must comply with liquidity and solvency tests before making the acquisition.

Section 39(1) now provides that, while a subsidiary holds shares in its holding company that it "acquired in accordance with section 89":

- the voting rights of those shares may not be exercised by the subsidiary;
- the percentage of votes able to be cast at a meeting of shareholders must be reduced by the number of shares held by the subsidiary.

2.4 The position under section 32(2) after the 1999 amendment

The 1999 amendment has not altered the position under section 39(2), in particular not the position under section 32(2) read with section 39(2).

Section 32(2) and section 89 are separate enactments, with separate purposes and terrains of application. Section 32(2) is a special provision that deals with a specific situation that exists only within insurers. Section 89, on the other hand, is a general provision that deals generally with all companies - also with insurers, but only in the area not covered by section 32(2).

Apart from shares in its holding company that an insurer acquires and holds in its policyholder funds under section 32(2), it may, under section 89, acquire and hold in its shareholder fund shares of not more than 10% together with all the subsidiaries of the holding company.

Under section 32(2) the Registrar will impose a limit of 10% in aggregate of the holding in policyholders fund, shareholders fund and by all the subsidiaries of the holding company. Only in exceptional cases will the Registrar allow a higher percentage, on a special condition that the shareholding must be reduced in a specified manner over a specified period.

With an amendment to the conditions, the Registrar will reconfirm all approvals issued previously, to ensure uniformity.

Under section 32(2) the Registrar will apply the following policy:

- (a) The holding company may be incorporated in the Republic or outside the Republic.
- (b) The holding company will be deemed to be a holding company as defined in the Companies Act, 1973 (Sections 1(3)(a) and 1(4) refer).
- (c) The shares in the holding company must be held by the insurer in any of its

policyholder funds, meaning a fund referred to in paragraph (a), (b) or (c) of section 29(4) of the Income Tax Act, 1962 (Act No. 58 of 1962).

- (d) The shares will be deemed to be held by the insurer in a representative capacity or as a trustee for the sole benefit of the owners of policies for which the policyholder fund concerned exists.
- (e) The insurer shall not have the right to vote at meetings of the holding company or of any class of members thereof.
- (f) The shares of the holding company of the insurer must be listed on a stock exchange or similar trading facility, which is recognised generally by the international community of institutional investors.
- (g) The insurer, together with all the other subsidiaries of the holding company holding shares in the holding company may not hold more than 10%, in the aggregate, of the issued share capital of the holding company.
- (h) The insurer must at all times adhere to the requirements of section 31(1) of the Act and paragraph 7.6 of the Requirements.

2.5 The addition of section 34(1)(e)

"An insurer shall not **include in its assets shares held directly or indirectly in its holding company**, without the approval of the Registrar, given generally or in a particular case, and subject to such conditions as the Registrar may determine."

Section 32(2) is an existing, special provision that already deals specifically with shares in its holding company held by an insurer in its policyholder funds. Section 34(1)(e) is a later, additional provision that deals generally with shares held by the long-term insurer in its holding company. It is meant to apply only to shares held by a long-term insurer to which section 32(2) does not already apply.

The section stated, "shares held directly or indirectly" which must be interpreted as follows:

- the insurer, directly, or indirectly through a subsidiary or trust, holds shares in its holding company;
- the insurer, directly, or indirectly through a subsidiary or trust, holds shares in its holding company under a share incentive scheme linked to shares in its holding company, but
- it does not apply where
 - the insurer holds shares in its holding company under a collective investment scheme or security instruments based on an index (e.g.: SATRIX 40); and
 - shares obtained by a subsidiary that is an insurer and has already obtained the required approval from the Registrar.

Under section 34(1)(e) the Registrar will apply the following policy:

- (a) The insurer must obtain approval for shares in its holding company already held before 1 August 2003 and thereafter for any shares before they are acquired, otherwise they cannot be included in the insurer's assets. This includes shares obtained before the insurer or its subsidiaries became subsidiaries of the holding company.

- (b) The holding company may be incorporated in the Republic or outside the Republic.
- (c) The holding company will be deemed to be a holding company as defined in the Companies Act, 1973 (Sections 1(3)(a) and 1(4) refer).
- (d) The shares in the holding company already approved in terms section 32(2) of the Long-term Insurance Act do not need approval in term of section 34(1)(e) of the Act.
- (e) The shares in the holding company must be acquired in terms of Section 89 of the Companies Act, 1973.
- (f) The insurer shall not have the right to vote at meetings of the holding company or of any class of members thereof.
- (g) The shares of the holding company of the insurer should be listed on a stock exchange or similar trading facility, which is recognised generally by the international community of institutional investors. (Note: If shares are already held in an unlisted holding company, approval must be obtained although the value of the shares will be nil.)
- (h) The insurer, together with all the other subsidiaries holding shares in the holding company, may not hold more than 10%, in the aggregate, of the issued share capital of the holding company. The aggregate holding must include the shares in its holding company that the long-term insurer holds in its policyholder funds, if any, as approved under section 32(2) of the Long-term Insurance Act.
- (i) The insurer must at all times adhere to the requirements of section 31(1) of the Act.

Only in exceptional cases will the Registrar consider applications, to exceed the limits as stated in (h) above, with a condition to decrease the number of shares held under section 32(2) over a period specified.

When the insurer has shares in its holding company, the insurer will be required to disclose the position regarding shares held by the insurer, directly or indirectly, together with the subsidiaries of the holding company in the annual statutory return which has to be submitted to the Registrar.

2.6 The valuation of the assets of long-term insurers

Insurers must value their assets (and liabilities) by means of the Requirements. This method is set out in Schedule 3 to the Long-term Insurance Act.

Schedule 3 requires that the valuation be done also in accordance with supplementary requirements to be prescribed by the Registrar.

According to paragraph 7.6 of the Requirements the value an insurer may place on shares it holds in its holding company, is limited. The value is limited to, if its holding company is listed, not more than 5% of the value of the total liabilities of the insurer. If its holding company is not listed, the value of the shares in its holding company must be taken as nil.

An insurer may, for valuation purposes, take into account only so much of the shares it holds in its holding company as is permitted from time to time by the Requirements, irrespective of

the number of shares it holds in its holding company under section 89 plus for insurers under section 32(2).

The value determined according to the Requirements, is the total value to be taken into account for the purpose of section 30 of the Long-term Insurance Act.

The Requirements have a clause whereby the Registrar may relax a provision in the Requirements, for such duration and such conditions as the Registrar may determine. The insurer may apply for such relaxation if the value of the shares obtained in terms of section 32(2) and 34 exceeds the limit set. The Registrar will therefore allow a higher value for the purposes of section 30 of the Long-term Insurance Act.

The Registrar will consider the following guidelines when an application is received for relaxation of the value of the shares the insurer has in its holding company:

- (a) The Registrar will approve the shares held, either under section 32(2) or 34(1)(e) of the Long-term Insurance Act and the insurer must comply with the conditions of the approval.
- (b) The additional value will only be considered for shares held in relation to link and market related policies.
- (c) The shares of the holding company of the insurer must be listed on a stock exchange or similar trading facility, which is recognised generally by the international community of institutional investors.

2.7 Holding company is a bank or bank controlling company

The regulations applicable to banks and bank controlling companies state the following:

Regulation 22 Consolidated return – paragraph (13) Cross-holdings:

- (a) Since none of the reciprocal holdings represent externally generated capital, both holdings of capital should be excluded from the assessment of group capital.
- (b) Large cross-holdings of capital can permit difficulties in one entity to be transmitted quickly to other entities in the group.
- (c) Existing cross-shareholdings within a banking group should be phased out.

Insurance companies whose holding company, in which they want to obtain or have shares, is a bank or bank controlling company need prior approval from the Bank Supervision Department of the South African Reserve Bank, before the Registrar will approve the application.

2.8 Summary

For a summary of the conditions please refer to the annexure.

3. Applications that need to be made to the Registrar

Separate applications must be made for each of the following:

3.1 Section 32(2) of the Long-term Insurance Act

- Prior approval for shares which a long-term insurer wish to acquire in respect of its long-term insurance business in any of its policyholder funds.

3.2 Section 34(1)(e) of the Long-term insurance Act

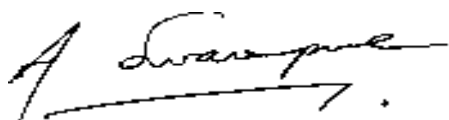
- Shares which an insurer held directly or indirectly in its holding company before 1 August 2003; and
- Shares to be obtained directly or indirectly in its holding company before they can be included in the insurers assets

3.3 Paragraph 10 of the Requirements for the calculation of the value of the assets, liabilities and capital adequacy requirement of Long-term Insurers

- Relaxation if the value of the shares in its holding company obtained in terms of Sections 32(2) and 34 exceeds:
 - 5% of the value of the liabilities of the insurer if the holding company is listed
 - nil if the holding company is not listed.

4. Information sharing of directive

This directive is available on the website of the FSB (www.fsb.co.za) and the insurer must bring it to the attention of its auditor (appointed under section 19 of the Act) and the statutory actuary (appointed under section 20 of the Act).



pp **REGISTRAR OF LONG-TERM INSURANCE**

SHARES IN HOLDING COMPANY	
	LONG-TERM INSURANCE ACT
SECTION 32(2)	Apply to shares in holding company held by policyholders funds, subject to a limitation of 10% of the issued shares of the holding company in the aggregate held by: – Policyholders funds and – Shareholders funds of insurer, plus – Other subsidiaries (of the holding company)
SECTION 34	Shares held, directly or indirectly, in holding company on 1 July 2003 in: – Policyholder's funds (obtained before Sec 19 of the Insurance Act of 1943, current sec 32 of Long-term Insurance Act.) – Shareholders fund – Other subsidiaries of insurer Shares to be obtained, directly or indirectly, in holding company after 1 July 2003 in – Shareholders fund – Other subsidiaries of the insurer
REQUIREMENTS	Value of shares held, directly or indirectly, in the holding company by: – Policyholders – Shareholders funds – Other subsidiaries or trusts (of the insurer) – Share incentives schemes (of the insurer or its subsidiaries) limited to – 5% of liabilities of the insurer if the holding company is listed; and – nil if the holding company is not listed